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BUSINESS • EARNINGS

Texas Instruments' Profit, Revenue Rise

Continued strength in the automotive market drove improvement in top line

By Anne Steele

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Texas Instruments Inc.'s **TXN -2.96%** ▼ profit rose 26% in the latest quarter as continued strength in the automotive market drove improvement in the chip maker's top line.

For the current quarter, TI said it expects earnings between 78 and 88 cents, including a 4-cent estimated tax benefit related to a new accounting standard for stock compensation. Analysts polled by Thomson Reuters had forecast 75 cents a share. The company anticipates revenue in the range of \$3.17 billion to \$3.43 billion, bracketing the average analyst estimate for \$3.21 billion.

The Dallas-based company is among the suppliers for Apple Inc. TI, maker of chips used in everything from cellphones to industrial equipment, has focused on analog chips, which have a high profit margin, and embedded processors, the brains of many electronic devices ranging from electric toothbrushes to driver-assistance systems in autos.

On Tuesday, Chief Executive Rich Templeton said demand continued to be strong in the automotive market and improved in the industrial market, but was down slightly in the personal electronics market.

During the latest period, sales of analog chips, which are the largest contributor to the top line, improved 10% to \$2.29 billion, while sales of embedded processors climbed

6.3% to \$744 million.

In all for the December quarter, TI reported a profit of \$1.05 billion, or \$1.02 a share, up from \$836 million, or 80 cents a share, a year earlier. TI had forecast earnings between 76 cents and 86 cents, but the results include a 14-cent benefit not in the company's original outlook.

Revenue rose 7.1% to \$3.41 billion, near the top end of the company's guidance of \$3.17 billion to \$3.43 billion.

Shares slipped 1.1% after hours to \$76.20.

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Anne Steele covers the music industry for The Wall Street Journal's entertainment bureau in Los Angeles. She was previously a breaking corporate news reporter in New York, and got her start at the Journal as an intern in the Detroit bureau covering the auto industry. Anne writes about the people and the companies that release, distribute...



